

Hertz Global Holdings, Inc.: review for reading time

Company and periods: FY2013 against FY2012, with Q4 FY2013. USD millions; sizes are shares of FY2013 pre-tax income of 663.1.

Documents: the FY2012 and FY2013 10-Ks, both Q4 results releases, the two earlier text-track replies, and the two uploaded PDFs (statement scan and flag explanations), taken as the numbers-track replies because nothing was pasted.

Items to investigate

1. U.S. rental car depreciation: rates cut and lives lengthened in a year of disposal losses

- **Shown:** Note 8 says the rate cuts were "indicative of the residual values experienced" in 2013, while the same note reports a 48.2 U.S. disposal loss from "declining residual values" (FY2013 pp. 54, 126). The car range went from "4 to 28" to "4 to 36 months" and "strong" was dropped (FY2012 pp. 81, 113; FY2013 p. 91). The stated average of "eighteen months" did not move (p. 11 both years), and the depreciation rate fell from 15.2% to 14.3%. Size: the company's stated income effect is 44.2 (6.7%); the numbers track's calculated charge not taken at the FY12 rate is 152 (23%; 26% as first reported). Evidence level 1.
- **Reading:** Both tracks read it the same way: most likely (text) or possibly (numbers) the reporting stretched, on top of a weakening used-car market. Losses traced to the acquired Dollar Thrifty fleet or to "timing of sales" would point to ordinary.
- **Next:** Quarterly disposal results and rate changes by segment in the 2013 10-Qs; ask how the average holding period is computed and what residual values are assumed.

2. Adjusted pre-tax income: recurring costs described as one-time

- **Shown:** The measure adds back "certain one-time charges" (FY2013 p. 50), yet restructuring was excluded in every year shown and has run since 2007 (p. 140). Four excluded items recur in FY11-FY13 and make up 65% of the 490.1 gap between adjusted and reported. 2013 added new exclusions of 131.2, and "non-cash" was dropped from the debt-charge wording. Size: 98.8 (14.9%) for restructuring; all adjustments 490.1 (74%). Evidence level 1.
- **Reading:** Most likely ordinary practice that flatters the measure (text track; the numbers track gave no reading). A year with no restructuring charge would change it.
- **Next:** 2014 restructuring guidance and cash paid against the 48.4 accrual (p. 141); the release's 35% assumed tax rate against the 47.8% effective rate.

3. Intangible asset lives: stated range contradicted in the same note set

- **Shown:** Lives are said to "range from two to fifteen years" (FY2013 p. 93), but Donlen intangibles carry 16 and 20 years (p. 99), in both years. Size: not quantified. Evidence level 1; it ranks here on evidence alone and is much smaller than items 4 and 5.
- **Reading:** No reading was given earlier; can't tell from these documents.
- **Next:** The amortization schedule by asset class.

4. Receivables: large fall only partly explained

- **Shown:** Receivables fell 19.5% while whole-company revenue rose 19.4%. Fleet-sale receivables explain 71% of the fall; about 110 is unreconciled to the cash flow statement. The text track adds a 4.0 gap between the provision in the cash flow statement and Schedule II (pp. 80, 158) and a restated 2012 allowance (25.1 to 29.3). Size: balance shortfall 737 (111%; 113% as first reported); unreconciled part 110 (16.6%), also a balance. Evidence level 2.
- **Reading:** Numbers track: most likely ordinary for the fleet part, can't tell for the rest. The text track gave no reading. Disclosure of a sale, netting or reclassification would change it.
- **Next:** Ask for receivables by type; Schedule II and the cash flow supplement (p. 81).

5. Controls judged effective in a year of error corrections

- **Shown:** Errors of 46.3 found in Q4 "would have been material to the fourth quarter" (p. 83), a debt requirement was "unknowingly not being met" (p. 150), and a new ledger went live. Item 9A mentions none of these (p. 159), and the release totals the errors at 47.9. Size: no FY2013 income effect; 46.3 is 7.0% as scale. Evidence level 2.
- **Reading:** Possibly the reporting stretched; a disclosed deficiency assessment would point to ordinary.
- **Next:** Ask how the errors were found and why the two totals differ.

Also noted

- Q4 gross margin fell 3.5 points (90, 14%, an income effect larger than item 2 but at level 3); 53 of direct operating cost is unexplained, and the reading is most likely the business weakening.
- Payables show a 121 gap (18.2%, balance) that can't be explained. The Nevada concession-fee case has an exposure above 40.0 (6.0%) with no material reserve. Goodwill headroom is not disclosed.

Checked and explained

- Net income above free cash flow: the company's explanation held; most likely ordinary fleet growth.
- The FY12 rate cut was supported by 100.6 of disposal gains; about 61% of the payables shortfall is the acquisition base; concession amortization and the allowance method fit.

Not examined

Residual values, disposal results by quarter, receivables by type, liability reserve movements and the proxy statements are not in the documents; the industry comparison is Transportation, not rental.

Items to investigate, not conclusions. The verdicts are the analyst's.